

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MCS INDUSTRIES, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND MSC
MEDITERRANEAN SHIPPING COMPANY SA, *Respondents*.

DOCKET NO. 21-05

Served: February 4, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON MOTION TO AMEND COMPLAINT AND MOTION TO DISMISS

I. Introduction and Procedural Background

On December 23, 2021, Complainant MCS Industries, Inc. (“MCS Industries”) filed a motion seeking leave to file an amended complaint (“Amended Complaint Motion”), along with the proposed amended complaint. On December 30, 2021, Respondent MSC Mediterranean Shipping Company SA (“MSC Mediterranean Shipping”) filed its opposition to the amended complaint motion (“Amended Complaint Opposition”), along with exhibits.

On December 23, 2021, Respondent MSC Mediterranean Shipping filed a motion to dismiss or, alternatively, for summary disposition of count V (“Dismissal Motion”). On January 7, 2022, Complainant MCS Industries filed a memorandum in opposition to the motion to dismiss (“Dismissal Opposition”). On January 14, 2022, Respondent filed a reply (“Dismissal Reply”).

On December 23, 2021, Respondent filed a motion for confidential treatment of part of the motion to dismiss. On February 3, 2022, Respondent filed a revised motion for confidential treatment and revised public versions of the motion to dismiss, attachments, and exhibits.

On January 10, 2022, Complainant MCS Industries and Respondent MSC Mediterranean Shipping filed a joint status report. Respondent COSCO Shipping Lines Co., Ltd. was previously dismissed pursuant to a settlement.

For the reasons set forth below, MCS Industries’ motion to amend the complaint is **GRANTED**, MSC Mediterranean Shipping’s motion to dismiss is **DENIED**, and the motion for confidential treatment is **GRANTED**. Respondent may file a response to the amended complaint by February 22, 2022. The parties shall file a joint status report, as discussed below, by February 28, 2022.

II. Motion to Amend Complaint

Complainant asserts that the amended complaint does not add any additional respondents or new violations but rather streamlines allegations, removes allegations not relevant to MSC Mediterranean Shipping, alleges substantial additional facts, and extends the timeframe at issue. Amended Complaint Motion at 2. Complainant asserts that because MSC Mediterranean Shipping has already been ordered to produce relevant categories of documents from 2019 and 2020, the addition of claims related to 2020-2021 will not significantly enlarge the time period subject to discovery. Amended Complaint Motion at 3.

Respondent opposes the motion to amend the complaint, asserting that the proposed amended complaint “would substantially broaden the issues in this proceeding and substantially rewrite the existing Complaint,” potentially expands the geographic scope, does not fix the problems with the existing complaint, and is unfair because Respondent could not pursue its closely related contractual claim that complainant failed to meet its contractual commitments to MSC Mediterranean Shipping. Amended Complaint Opposition at 2.

Pursuant to Commission Rule 66, amendments to a complaint “will be permitted or rejected, either in the discretion of the Commission or presiding officer.” 46 C.F.R. § 502.66(a). The Commission has permitted amendment of a complaint to allow a party to further develop their allegations of Shipping Act violations. *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 2006 FMC Lexis 19, at *23 (FMC 2006). Under the Federal Rules, once a responsive pleading is filed, a party may amend its complaint only with the consent of opposing party or by leave of the court and courts “should freely give leave when justice so requires.” F.R.C.P. 15(a)(2). “Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments.” *Bancoult v. McNamara*, 214 F.R.D. 5, at *8 (D.D.C. 2003); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962).

Respondent asserts that Complainant offers no justification for its dilatory conduct. However, Commission Rule 66 and Federal Rule 15(a) do not include a time limitation and a “court should not deny leave to amend based solely on time elapsed between the filing of the complaint and the request for leave to amend.” *Bancoult v. McNamara*, 214 F.R.D. 5, at *8. Moreover, no prior amendments were requested and this proceeding is still in the discovery phase.

Respondent asserts that the amended complaint may expand the scope of this proceeding both temporally and geographically. Amended Complaint Opposition at 1-2. However, Complainant asserts that a prior discovery order required Respondent to produce documents within the proposed timeframe. Amended Complaint Motion at 3. It is not clear how the amended complaint would expand the geographic scope beyond the ports identified in the parties’ service contract. However, Complainant’s argument that allowing the amendment would “be **more** efficient and cost-effective than filing a new, separate complaint against Respondent, and would allow the overlapping issues to be addressed in a streamlined fashion” is well taken. Amended Complaint Motion at 3. Given the overlapping issues, the scope is not unreasonable expanded.

Respondent also contends that permitting the amendment would be “wholly unfair” since it could not pursue its closely related contractual claims in this forum, for example “a ripe counterclaim for liquidated damages as to Complainant’s failure to meet its commitment.” Amended Complaint Opposition at 2, 7-8. This issue is not limited to the amended complaint and would exist even if Complainant filed a new claim to cover the timeframe proposed in the amended complaint. In addition, the existence of a potential counterclaim to a breach of contract action does not impact the Commission’s authority to adjudicate Shipping Act violations.

For the foregoing reasons, the amended complaint will be permitted. The arguments in the motion to dismiss apply to the amended complaint and will be reviewed in that context. A responsive pleading is not always required when an amended complaint is filed. *See KST Data, Inc. v. DXC Tech. Co.*, 980 F.3d 709, 715 (9th Cir. 2020). MSC Mediterranean Shipping may provide an answer to the amended complaint by February 21, 2022.

In addition, the parties must file a joint status report by February 28, 2022, outlining a proposed schedule, status of discovery requests including between the parties and to non-parties, compliance with the order to compel, details regarding any delays in obtaining discovery from overseas, whether any additional discovery is anticipated, and whether the parties have exchanged settlement offers, but not the content of any settlement offers.

III. Motion to Dismiss or for Summary Disposition

A. Arguments of the Parties

MSC Mediterranean Shipping asserts that the complaint should be dismissed, arguing that count II states a pure breach of contract claim, counts III and IV fail to state a claim because they do not allege any discrimination as to ports, count V fails to state a claim or alternatively should be disposed of summarily, and count I is inherently a breach of contract claim. Dismissal Motion at 3-17.

MCS Industries contends that the factual allegations in Complainant’s initial complaint are sufficient; counts I, II, and V of the initial complaint state causes of action under the Shipping Act over which the Commission properly has subject-matter jurisdiction; counts III and IV of the initial complaint state valid causes of action; Respondent’s count V arguments misconstrue that claim and impermissibly reach beyond the pleadings; and the amended complaint renders Respondent’s motion moot. Dismissal Opposition at 5-18.

B. Motion to Dismiss Standard

Although the Commission’s Rules do not explicitly provide for motions to dismiss, Commission Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital v. Marine Transport Logistics*, 2020 FMC LEXIS 216 at *6 (FMC 2020).

“When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *MAVL Capital*, 2020 FMC LEXIS 216 at *6 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)). “Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *MAVL Capital*, 2020 FMC LEXIS 216 at *6 (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 54, 2015 FMC LEXIS 43 at *36 (FMC 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12 at *31-32 (FMC 2011). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. LEXIS 125179 at *5 (M.D. Tenn. 2014).

C. Discussion

1. Unreasonable Practices, Count I (46 U.S.C. § 41102(c))

MSC Mediterranean Shipping asserts that count I is inherently a breach of contract claim; that the service contract requires disputes to be resolved by binding arbitration; that Complainant has abandoned allegations of concerted, collusive, and parallel activity; that course of conduct allegations are inherently contractual; and that the requested reparations claim is calculated using the classic measure of damages for breach of contract. Dismissal Motion at 12-17.

Complainant asserts that conduct could constitute both a breach of a service contract and a violation of the Shipping Act; all of Complainant’s causes of action allege Shipping Act violations; and the alleged violations were part of broader practices by Respondent. Dismissal Opposition at 8-10.

The complaint alleges failures “to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property.” Amended Complaint at 21-22, ¶ 108. The amended complaint alleges factual support for claims of unjust and unreasonable practices, including “failing to maintain or provide booking reports to customers, systematically preferring higher-priced cargo over performing on its service contracts, and deliberately coercing surcharges including [peak season surcharges (“PSS”)] as a precondition to carry previously contracted cargo.” Amended Complaint at 20, ¶ 104.

Section 41102(c) states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The elements required for a section 41102(c) claim are that (a) Respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) The practice or regulation is unjust or unreasonable; and (e) The practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4.

“It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.” *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, 29 S.R.R. 394, 396, 2001 FMC LEXIS 7 at *9 (ALJ 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). “Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406, 2019 FMC LEXIS 44 at *10 (FMC 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

Commission precedent holds that even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act. This precedent was described in a prior proceeding:

To elaborate, section 8(c) of the Shipping Act, now codified at 46 U.S.C. § 40502(f), provides: “Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” In *Cargo One*, the question was whether this provision precluded Commission jurisdiction over complaints alleging Shipping Act violations related to service contracts.

While section 8(c) reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address those matters are not authorized to address Shipping Act matters exclusively within the Commission’s jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action. Moreover, as noted *supra*, reliance on the Commission to pursue such violations *sua sponte* in its investigatory role would eviscerate the reparations remedy afforded complainants by the statute. Therefore, we find that the ALJ should proceed to consider those claims.

Cargo One, [Inc. v. Cosco Container Lines Co. Ltd, 28 S.R.R. 1635, 1645 (FMC 2000).]

Relying on the principles stated in *Cargo One*, the Commission has held that jurisdiction over a complaint alleging violations of the Shipping Act exists even though a proceeding in another forum may have resolved some issues between the parties. For instance, prior to filing its complaint with the Commission, one complainant had sought and obtained an arbitration award of several hundred thousand dollars against the Commission respondent. The complainant filed a complaint with the Commission alleging Shipping Act violations and seeking another million dollars. The Commission reversed the order of the administrative law judge dismissing the complaint and remanded for further proceedings on the Shipping Act claims set forth in the complaint. The Commission held that the fact that the service contract between the parties required arbitration:

does not outweigh the Commission's duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. . . . To preclude Anchor from proceeding with its complaint solely because a private arbitrator previously issued a ruling would be inconsistent with our statutory mandate to hear such complaints.

Anchor Shipping Co. v. Aliança Navegação E Logística Ltda., 30 S.R.R. 991, 998 (FMC 2006). The Commission stated that “[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any disputes previously addressed by the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties.” *Id.*, at 999-1000.

Baltic Auto Shipping, Inc. v. Hitrinov, Docket 14-16, 33 S.R.R. 1230, 1232-33 (ALJ Feb. 2, 2015) (Order Denying Request for Stay).

Thus, the Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the facts alleged may give rise to both breach of contract claims and Shipping Act claims. Allegations in the amended complaint extend beyond allegations of breach of the service contract to allege practices that violate the Shipping Act, such as failing to maintain or provide booking reports, systematically preferring higher-priced cargo, and coercing surcharges. Establishing a violation of section 41102(c) requires a showing that the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis. It does not require that the acts involved be concerted, collusive, or parallel actions. Additionally, the way that damages are calculated does not determine whether or not the Commission has jurisdiction over a claim. The Commission has an obligation to determine the reasonableness of practices by regulated entities that are alleged to violate the Shipping Act.

Accepting the factual allegations of the amended complaint as true at this stage of the proceeding, Complainant alleges plausible violations of the Shipping Act in the receiving,

handling, storing, or delivering of property. Accordingly, MSC Mediterranean Shipping has not established a basis to dismiss count I for lack of subject matter jurisdiction or failure to state a claim.

2. Not In Accordance With Service Contract, Count II (46 U.S.C. § 41104(a)(2))

MSC Mediterranean Shipping asserts that a “claim for breach of a service contract is a claim for breach of contract,” the “Commission has no jurisdiction over breach of contract claims,” and the “failure to operate in accordance with a filed agreement prohibited in § 41104(a)(2) cannot encompass a mere failure to abide by the terms of a filed service contract, or § 40502(f) would be read entirely out of the Act.” Dismissal Motion at 3. In its Reply, MSC Mediterranean Shipping contends that “Count II of the Complaint expressly pleads MSC’s supposed failure to operate in accordance with a filed agreement, namely the service contract, and Complainant makes no effort to defend that count in its opposition.” Dismissal Reply at 3.

As discussed above, Complainant asserts that conduct could constitute both a breach of a service contract and a violation of the Shipping Act; that all of Complainant’s causes of action allege Shipping Act violations; and the alleged violations were part of broader practices by Respondent. Dismissal Opposition at 8-10.

Count II alleges:

The foregoing conduct by Respondent constitutes provision of service in the liner trade that is not in accordance with the rules and practices contained in Respondent’s Service Contracts with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2).

Amended Complaint at 22, ¶ 110. Complainant alleges that Respondent disregarded service contracts in favor of higher-priced freight and attempted to coerce extra-contractual surcharges from Complainant. Amended Complaint at 9-15, ¶¶ 39-71.

Section 41104(a)(2) states:

(a) In General.-A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . (2) provide service in the liner trade that is-

(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title; or

(B) under a tariff or service contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title;

46 U.S.C. § 41104(a)(2).

Respondent points to Section 40502(f), formerly contained in Section 8(c) of the Act, which provides that “[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” 46 U.S.C. § 40502(f).

The Shipping Act requires common carriers to abide by the terms of their published tariffs and service contracts. *Santa Fe Discount Cruise Parking, Inc., v. The Board of Trustees of the Galveston Wharves*, Docket No. 4-06, 2021 FMC LEXIS 56, at *2 (FMC April 16, 2021) (“Order on Initial Decision on Remand”). The parties do not assert that the service contract has been suspended or prohibited, so section 41102(a)(2)(B) does not apply. The amended complaint alleges that Respondent’s actions were not in accordance with the rates, charges, classifications, rules, and practices contained in the parties’ service contract. The complaint does not allege a breach of the service contract but rather that Respondent’s rules and practices violated the Shipping Act. Moreover, this section specifically and explicitly applies to service contracts. Therefore, the amended complaint properly alleges a plausible violation of section 41102(a)(2)(A).

3. Discrimination, Unreasonable Prejudice, Counts III, IV (46 U.S.C. §§ 41104(a)(5), (9))

MSC Mediterranean Shipping asserts that counts III and IV fail to state a claim because 46 U.S.C. §§ 41104(a)(5) and (9) prohibit discrimination only with respect to ports and not shippers, arguing that after the Ocean Shipping Reform Act of 1998 (“OSRA”), claims of discrimination among shippers can “be pursued only for carriage under a tariff, and not for carriage under a service contract.” Dismissal Motion at 5.

Complainant claims that it alleges violations with respect to the ports for which MCS Industries contracted with Respondent, specifically the Chinese ports of Qingdao, Tianjin, and Ningbo; OSRA’s elimination of “me-too” rights is not implicated here; and legislative comments are neither authoritative nor binding. Dismissal Opposition at 12-13.

The amended complaint alleges conduct by Respondent pursuant to the service contract which “constituted an unfair and unjustly discriminatory practice against Complainant in the matter of rates or charges with respect to the ports identified in the Service Contracts,” and which “gave undue and unreasonable preference and advantage to shippers other than Complainant and imposed an undue and unreasonable prejudice and disadvantage to Complainant with respect to the ports identified in the Service Contracts.” Amended Complaint at 22-23, ¶¶ 112, 114.

As factual support for these allegations, Complainant alleges “discrimination against Complainant in favor of other shippers, notably spot market shippers and shippers who agreed to pay higher rates, including PSS for shipments originating from Qingdao, Tianjin, and Ningbo, [which] constitutes undue and unreasonable preference and advantage to shippers other than Complainant.” Amended Complaint at 18, ¶ 95.

Counts III and IV allege violations of sections 41104(a)(5) and (9), which state:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . (5) for service pursuant to a service contract, engage

in any unfair or unjustly discriminatory practice in the matter of rates or charges with respect to any port; . . . (9) for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port.

46 U.S.C. § 41104(a).

The amended complaint explicitly makes allegations “with respect to the ports identified in the Service Contracts” for these counts. The service contracts refer to specific ports and the parties have identified the relevant ports as service to Los Angeles-Long Beach from the Chinese ports of Qingdao, Tianjin, and Ningbo. Therefore, allegations regarding the ports at issue are sufficient.

Respondent asserts that sections 41104(a)(5) and (9) “protect only ports, and not shippers.” Dismissal Motion at 6. This argument is not clear and is not based on caselaw. Respondent cites, and is aware, that section 41104(a) claims apply only to common carriers and not to ports, so a port would not raise a claim under this section. Dismissal Motion at 8 (citing *Port Elizabeth Terminal and Warehouse Corp. v. The Port Authority of New York and New Jersey*, 2019 FMC LEXIS 8, at *38-39 (ALJ Mar. 25, 2019) (dismissing allegations based on Section 41104(a)(9) because the “case [did] not involve common carriers, tariffs, or service contracts”)). Respondent also states that since only one port in the United States is at issue, “allegations of discrimination between ports would be a logical impossibility.” Dismissal Motion at 7 n.4. But discrimination must be shown “with respect to any port,” not between different ports. 46 U.S.C. § 41104(a)(5), (9). Respondent also discusses the elimination of “me-too” rights, but those rights are not implicated in this proceeding. Under this section, common carriers may offer different rates but they may not do so in a manner that is undue or unreasonable. The amended complaint plausibly alleges that the conduct is “undue or unreasonable” with respect to the ports at issue. MSC Mediterranean Shipping has not established that counts III and IV should be dismissed.

4. Refusal to Deal, Count V (46 U.S.C. § 41104(a)(10))

MSC Mediterranean Shipping asserts that count V fails to state a claim of refusal to deal, 46 U.S.C. § 41104(a)(10), because the allegations are insufficient to plead a refusal to deal or negotiate or that such refusal was unreasonable. Dismissal Motion at 8. In its reply, MSC Mediterranean Shipping claims that count V must be dismissed because it is inherently a breach of contract claim. Dismissal Reply at 7-9.

MCS Industries contends that the initial complaint alleged that MSC Mediterranean Shipping refused to provide sufficient commitments in its service contract and that MSC Mediterranean Shipping’s practice of failing to provide space allocations constituted unreasonable refusal to deal. Dismissal Opposition at 16. In addition, MCS Industries indicated that its amended complaint adds further detail by alleging a systematic refusal that resulted in the failure to book Respondent’s shipments, to provide sufficient information, and refusal to deal unless MCS Industries agreed to pay additional surcharges. Dismissal Opposition at 16.

Count V alleges that the “foregoing conduct by Respondent in the course of negotiating with Complainant and providing service pursuant to Respondent’s Service Contracts with Complainant constitutes unreasonable refusal to deal or negotiate with Complainant.” Amended Complaint at 23, ¶ 116. As factual support for refusal to deal, the amended complaint asserts “a systematic refusal to deal with Complainant that resulted in the failure to book Respondent’s shipments” as well as “failing to provide contracted space, failing to book Complainant’s cargo, failing to provide necessary information concerning booking issues, and engaging in a scheme to withhold service unless Complainant agreed to PSS.” Amended complaint at 16-17, ¶¶ 83, 89.

Proving an unlawful refusal to deal or negotiate under 46 U.S.C. § 41104(a)(10) requires that Complainant show that “(1) the respondent is a common carrier; (2) who actually refused to deal or negotiate; and (3) in doing so acted unreasonably.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 FMC LEXIS 216, at *12-13 (FMC Oct. 29, 2020) (internal citations omitted).

The amended complaint alleges specific attempts to book and delayed responses or failures to book Respondent’s shipments, and is sufficient to allege that MSC Mediterranean Shipping unreasonably refused to deal or negotiate. As discussed above, these are not mere breach of contract claims but rather allegations of Shipping Act violations. Accepting the allegations in the amended complaint as true, the amended complaint alleges a plausible violation of section 41104(a)(10).

MSC Mediterranean Shipping also requests summary disposition of the refusal to deal claims. However, discovery is ongoing. It is clear that determination of this issue will require resolution of disputed facts. Because the underlying facts are in dispute and MSC Mediterranean Shipping is not entitled to a finding on its behalf as a matter of law, this issue cannot be resolved by summary disposition. The parties will need to complete discovery and brief the proceeding.

D. Motion for Confidential Treatment

On December 23, 2021, Respondent MSC Mediterranean Shipping moved for confidential treatment and indicated that many of the redactions were provisional to provide Complainant time to review. On February, Respondent filed a revised motion for confidential treatment and the corresponding revised public versions.

The parties have requested only the following redactions: (1) the attachment with cited pages from the master deposition, pages and lines 106:21-25 and 107: 7-10; (2) page 11, lines 4-7 of the motion to dismiss which references these pages and lines from the master deposition; (3) exhibit 2, except for a portion Complainant has agreed is nonconfidential. Revised Motion For Confidential Treatment at 1-2.

The request has been properly narrowed by the parties and is designed to protect confidential commercial information. The request for confidential treatment is narrowly tailored to protect confidential commercial information and is reasonable. Public versions were provided. Complete copies of these filings are available to the undersigned and to the Commission.

Accordingly, it is hereby **ORDERED** that MSC Mediterranean Shipping’s request for confidential treatment of specific sections of the attachments and exhibits to the motion to

dismiss be **GRANTED**. In the future, the parties must mark confidential, including provisionally confidential, material in the briefs to avoid inadvertent disclosure. See the example in the Initial Order for suggestions on how to mark confidential material.

IV. Order

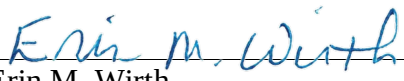
Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that the motion to amend the complaint be **GRANTED**. The Secretary is requested to file the amended complaint attached to Complainant's motion for leave to file an amended complaint. MSC Mediterranean Shipping may file an answer to the amended complaint by February 22, 2022. It is

FURTHER ORDERED that MSC Mediterranean Shipping's motion to dismiss be **DENIED**. It is

FURTHER ORDERED that MSC Mediterranean Shipping's revised request for confidential treatment of specific sections of the motion, attachments, and exhibits to the motion to dismiss be **GRANTED**. The revised public versions may be posted. It is

FURTHER ORDERED that the parties shall submit a joint status report with proposed schedule by February 28, 2022.


Erin M. Wirth
Chief Administrative Law Judge